

FIATRANSFER LLC

Anti-Money Laundering and Counter-Terrorist Financing Compliance Program

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1. Introduction and Program Statement

1.1 Purpose

Fiattransfer LLC ("Fiattransfer" or the "Company") is committed to detecting, preventing, and reporting money laundering, terrorist financing, sanctions violations, and other financial crimes. This Anti-Money Laundering and Counter-Terrorist Financing Compliance Program (the "Program") establishes the policies, procedures, and internal controls Fiattransfer maintains to comply with the Bank Secrecy Act (BSA), the USA PATRIOT Act, regulations issued by the Financial Crimes Enforcement Network (FinCEN), the Office of Foreign Assets Control (OFAC), the Florida Office of Financial Regulation (OFR) under Chapter 560 of the Florida Statutes, and applicable Mexican regulations including Banco de México (Banxico) Circular 4/2007 governing institutions of payment.

1.2 Scope

This Program applies to all employees, contractors, agents, and authorized delegates of Fiattransfer, and to all transactions originated, transmitted, or received through Fiattransfer's platforms, including USA-Mexico remittances delivered via SPEI through a pre-funded account at STP and ACH/wire collection in the United States.

1.3 Regulatory Framework

The Program is designed to satisfy the requirements of:

Regulation	Authority	Application
31 CFR Chapter X	FinCEN	BSA implementing regulations for MSBs
31 CFR § 1010.100(ff)	FinCEN	MSB definition and registration
31 CFR § 1022	FinCEN	MSB-specific AML program rules
31 CFR § 501–598	OFAC	Sanctions compliance
12 CFR § 1005	CFPB	Regulation E — Remittance Rule
F.S. Chapter 560	Florida OFR	Money Services Business licensing
Circular 4/2007	Banxico	Mexican payment institutions
USA PATRIOT Act	Various	CIP, EDD, 314(a), 314(b)

1.4 Approval and Annual Review

This Program has been approved by the Board of Managers of Fiattransfer LLC and the designated AML Compliance Officer. The Program shall be reviewed and updated at least annually, and more frequently as required by changes in business model, regulatory environment, geographic exposure, product offering, or risk assessment findings. All material updates require approval by the Board of Managers.

2. Designation of AML Compliance Officer

2.1 Appointment

The Board of Managers has appointed **Horacio Eduardo Gutiérrez Navarro** as the BSA/AML Compliance Officer ("Compliance Officer") of Fiattransfer LLC. The Compliance Officer is responsible for the design, implementation, and ongoing administration of this Program.

2.2 Responsibilities

- Maintaining and updating this AML Program in line with applicable laws and regulations.
- Overseeing customer identification, due diligence, and ongoing monitoring procedures.
- Approving the configuration and calibration of the transaction monitoring rule library.
- Reviewing alerts generated by the monitoring system, conducting investigations, and making SAR filing decisions.
- Filing CTRs, SARs, and 314(a) responses with FinCEN within mandated timelines.
- Coordinating annual independent testing and addressing findings.
- Designing and delivering employee training programs.
- Responding to inquiries from federal and state regulators, law enforcement, and banking partners.
- Maintaining records required by 31 CFR § 1010.430 and § 1022.410 for the prescribed retention period.

2.3 Authority and Independence

The Compliance Officer reports directly to the Board of Managers and has the authority to make binding decisions regarding customer onboarding, transaction approval or rejection, account freezing, and SAR filings without interference from business functions. The Compliance Officer has unrestricted access to all books, records, personnel, and systems necessary to perform compliance duties.

Note: Until the volume and complexity of operations require a dedicated full-time officer, the Compliance Officer role is held by the principal of the Company. Upon reaching transaction volumes exceeding \$10 million USD per quarter or 15,000 transactions per month, Fiattransfer commits to either (i) hiring a dedicated full-time BSA Officer, or (ii) engaging a qualified third-party compliance service provider, whichever the Board determines is most appropriate.

3. Risk Assessment Methodology

3.1 Approach

Fiattransfer maintains a written, enterprise-wide BSA/AML risk assessment that identifies inherent money laundering, terrorist financing, and sanctions risks across its products, services, customer base, geographies, and channels. The assessment evaluates inherent risk against the strength of mitigating controls to determine residual risk.

3.2 Risk Categories

Risk Category	Inherent Risk	Key Drivers
Customer base	Medium-High	Cash-intensive senders, undocumented customers, ITIN holders
Geography	High	USA-Mexico corridor; Mexico is a HIDTA jurisdiction; cartel exposure
Products & services	Medium	Cross-border remittance; pre-funded SPEI delivery; no cash payout
Channels	Medium	Digital onboarding (KYC remote); ACH and wire collection
Volume	Low (initial)	Startup phase; <\$2M USD monthly initially
Counterparties	Medium	STP México; correspondent banking under review

3.3 Risk Rating Scale

Each customer is assigned a risk rating of Low, Medium, or High at onboarding and re-assessed periodically based on transaction activity, geographic exposure, and any adverse events. See Appendix B for the full Risk Matrix.

3.4 Annual Update

The risk assessment is reviewed and updated at least annually. Material changes in business activity, such as the addition of new corridors, new product types, or significant volume growth, trigger an immediate update.

4. Customer Identification Program

4.1 Required Information

In accordance with 31 CFR § 1022.220, Fiattransfer collects the following information from each customer prior to executing any transaction:

Element	Required For
Full legal name	All customers
Date of birth	All customers
Residential address	All customers (no P.O. boxes)
Identification number	SSN, ITIN, passport, or government-issued ID
Phone number	All customers (used for verification)
Email address	All customers
Occupation	All customers
Source of funds	Customers in Medium or High risk tier

4.2 Verification Methods

Customer identity is verified using a combination of documentary and non-documentary methods:

Documentary verification — government-issued photo identification matched against a real-time biometric selfie comparison performed by a qualified third-party identity verification provider.

Non-documentary verification — cross-reference of customer-provided information against authoritative databases including credit bureau records, telecommunications verification, and government records.

4.3 Acceptable Documentation

For United States residents: state-issued driver's license, state ID, U.S. passport, U.S. military ID, or permanent resident card.

For foreign nationals without SSN: valid foreign passport, matrícula consular, or other government-issued photo identification, in combination with proof of U.S. address (utility bill, lease, or comparable document) and an Individual Taxpayer Identification Number (ITIN) where available. Customers without SSN are automatically assigned to the Medium risk tier and subject to enhanced monitoring.

4.4 Records Retention

All CIP records are retained for a minimum of five years following account closure or last transaction, in accordance with 31 CFR § 1010.430.

5. Customer Due Diligence and Enhanced Due Diligence

5.1 Standard Customer Due Diligence

Standard CDD is performed on all customers and includes: (i) understanding the nature and purpose of the customer relationship, (ii) developing a customer risk profile, (iii) ongoing monitoring to identify and report suspicious transactions, and (iv) maintaining and updating customer information.

5.2 Enhanced Due Diligence Triggers

Enhanced Due Diligence is triggered automatically by any of the following:

- Customer is identified as a Politically Exposed Person (PEP) or has a close associate or family member who is a PEP.
- Customer is a resident or citizen of a high-risk jurisdiction listed in FATF or OFAC advisories.
- Single transaction at or above \$3,000 USD (CFPB Remittance Rule disclosure threshold).
- Aggregated transactions exceeding \$7,500 USD within a 30-day rolling window for any customer.
- Adverse media match identified during initial or periodic screening.
- Customer requests anonymity or unusual confidentiality.
- Source of funds appears inconsistent with declared occupation or income level.
- Customer is flagged as Medium or High risk tier under the risk matrix (Appendix B).

5.3 EDD Procedures

When EDD is triggered, the Compliance Officer (or designated reviewer) performs the following before approving any further transactions:

- Obtains and verifies source of funds documentation (employer letter, tax returns, bank statements).
- Confirms identity of the beneficiary in Mexico and the nature of the relationship to the sender.
- Reviews complete transaction history for unusual patterns.
- Searches multiple sanctions lists and adverse media databases.
- Documents the EDD review and decision in the customer file with timestamp and reviewer ID.

5.4 PEP Screening

All customers are screened against PEP databases at onboarding and on a continuous basis. Senior management approval is required prior to establishing or continuing any business relationship with a PEP, an immediate family member of a PEP, or a known close associate of a PEP.

5.5 Ongoing Monitoring

Customer profiles are reviewed periodically based on risk tier: Low risk every 36 months, Medium risk every 12 months, High risk every 6 months. Reviews verify that customer information remains current and that transaction patterns are consistent with the customer's profile.

6. Sanctions Compliance and OFAC Screening

6.1 Lists Screened

List	Authority	Screening Frequency
Specially Designated Nationals (SDN)	OFAC	Real-time, every transaction
Sectoral Sanctions (SSI)	OFAC	Real-time, every transaction
Non-SDN Palestinian Legislative Council	OFAC	Real-time
Foreign Sanctions Evaders (FSE)	OFAC	Real-time
Consolidated Sanctions List	OFAC	Real-time
UN Security Council Sanctions	United Nations	Daily refresh
EU Consolidated List	European Union	Daily refresh
HMT Consolidated List	UK HM Treasury	Daily refresh
FinCEN 314(a) requests	FinCEN	Within 14 days of request

6.2 Real-Time Screening

Every customer (sender), beneficiary, and counterparty is screened against the lists above at the time of onboarding and prior to the execution of every transaction. Transactions are blocked from execution pending review when the screening engine returns a potential match.

6.3 Match Resolution

Potential matches are reviewed by the Compliance Officer using a four-step process: (i) confirm or rule out the match against full-name, date-of-birth, and identification number; (ii) check secondary identifiers including address, nationality, and occupation; (iii) document the determination and supporting evidence; (iv) for confirmed matches, block the funds and file a blocked-property report with OFAC within ten business days as required by 31 CFR § 501.603.

7. Transaction Monitoring System

7.1 Automated Rule Engine

Fiattransfer operates an automated transaction monitoring system that evaluates every transaction in real time against a configured rule library. The rule library includes structuring detection, smurfing detection, velocity rules, geographic risk rules, beneficiary network analysis, and round-tripping detection.

7.2 Core Monitoring Rules

Rule	Description	Threshold
Structuring	Multiple transactions just below CTR or disclosure thresholds	≥3 transactions of \$2,500–\$2,999 in 7 days
Smurfing	Multiple senders to same beneficiary in short window	≥3 distinct senders, same beneficiary, 24h
Velocity — daily	Anomalous volume of transactions per customer	>5 transactions or >\$10K in 24h
Velocity — monthly	Cumulative volume out of profile	>\$15K monthly without prior pattern
Round-tripping	Funds returning to sender via different account/identity	Same beneficiary→sender pair within 7 days
Dormancy break	Long-inactive account suddenly active	120+ days inactive, then >\$1K
Geographic concentration	Senders concentrated in narrow geography to multiple beneficiaries	≥10 senders, same ZIP, 48h
Cross-border red flag	Transaction to/from FATF-listed jurisdiction	Any FATF gray or black-listed country
Beneficiary network	Beneficiary receiving from disconnected senders	≥5 unrelated senders in 30 days
Source mismatch	Funding source inconsistent with declared occupation	Triggered manually during EDD review

7.3 Alert Investigation

When a rule is triggered, the system generates an alert with severity (Low, Medium, High) and routes it to the alert queue. The Compliance Officer or designated reviewer must address each alert within the timeframes specified below:

Severity	Investigation SLA	Action
High	24 hours	Block account; investigate; SAR if confirmed
Medium	5 business days	Review pattern; request EDD; document decision
Low	15 business days	Review aggregated; close or escalate

8. Suspicious Activity Reporting

8.1 Filing Threshold and Timeline

Fiattransfer files a Suspicious Activity Report (SAR) with FinCEN whenever it knows, suspects, or has reason to suspect that a transaction (or pattern of transactions) of \$2,000 USD or more involves funds derived from illegal activity, is intended to evade BSA reporting requirements, has no apparent lawful purpose, or otherwise meets the criteria of 31 CFR § 1022.320.

SARs are filed no later than 30 calendar days after the date of initial detection of facts that may constitute a basis for filing. If no suspect is identified at the time of initial detection, filing may be delayed an additional 30 days, but in no case more than 60 days from initial detection.

8.2 SAR Decision Process

- Alert reaches the Compliance Officer through the monitoring system or staff escalation.
- Compliance Officer gathers transaction history, KYC data, screening results, and any relevant context.
- Compliance Officer documents the analysis and reaches a SAR/no-SAR determination.
- If filing, SAR is submitted electronically via the BSA E-Filing System within the required timeframe.
- If not filing, the analysis and determination are retained in the case file.
- All SAR filings are reported to the Board of Managers in the next quarterly compliance review.

8.3 Confidentiality (Tipping Off Prohibition)

Under 31 USC § 5318(g)(2), no employee, agent, or representative of Fiattransfer may disclose to a customer, beneficiary, or any unauthorized third party that a SAR has been filed or that information has been requested or shared with law enforcement. Violation is a federal offense. All employees receive specific training on this prohibition.

8.4 SAR Recordkeeping

Copies of all filed SARs and supporting documentation are retained for five years from the date of filing in a secure, access-controlled repository accessible only to the Compliance Officer and designated personnel.

9. Currency Transaction Reporting

9.1 \$10,000 Threshold

Fiattransfer files a Currency Transaction Report (CTR) with FinCEN for any cash transaction (or aggregated cash transactions by or on behalf of the same person within a single business day) exceeding \$10,000 USD.

Note: Fiattransfer's product model accepts only ACH and wire funding (no cash). CTR filings are therefore expected to be infrequent. The Compliance Officer monitors any change in funding method that may trigger a higher CTR filing volume.

9.2 Aggregation Rules

All cash transactions involving the same customer within a single business day are aggregated for the purpose of the \$10,000 threshold. The CTR is filed within 15 calendar days of the transaction.

10. Recordkeeping and Travel Rule

10.1 Retention Period

All records required by 31 CFR § 1010.410 and § 1022.410 are retained for a minimum of five years from the date of the transaction or account closure, whichever is later.

10.2 Travel Rule Compliance

For transactions of \$3,000 USD or more, Fiattransfer transmits the following information to the next financial institution in the payment chain: sender's name, address, and account number; the amount and date of the transaction; payment instructions; the beneficiary's name; and the beneficiary's account number. This satisfies the requirements of 31 CFR § 1010.410(f).

10.3 Format and Accessibility

Records are maintained in electronic form with backup redundancy and are retrievable within 24 hours of a regulatory or law enforcement request. Records include account opening documents, transaction logs, screening results, alert investigations, SAR/CTR filings, and audit reports.

11. Information Sharing — Sections 314(a) and 314(b)

11.1 Section 314(a) — Mandatory Government Requests

Fiattransfer responds to FinCEN 314(a) information requests within 14 days of receipt. The Compliance Officer searches all customer and transaction records for matches against the named subjects and reports positive matches via the secure 314(a) portal.

11.2 Section 314(b) — Voluntary Information Sharing

Fiattransfer has registered with FinCEN to participate in voluntary 314(b) information sharing with other registered financial institutions. Information shared under 314(b) is limited to the purposes of identifying and reporting money laundering and terrorist financing.

12. Independent Testing and Audit

12.1 Annual Independent Review

An independent review of the AML Program is conducted at least annually by a qualified party that is not involved in the day-to-day operation of the Program. The reviewer may be an internal employee outside the compliance function with appropriate qualifications, or an external compliance consultant.

12.2 Scope and Methodology

- Adequacy of the written AML Program against current regulations.
- Effectiveness of CIP, CDD, and EDD procedures (sample testing).
- Effectiveness of the transaction monitoring system (alert review and false-positive analysis).
- Timeliness and accuracy of SAR and CTR filings.
- Effectiveness of OFAC screening processes.
- Adequacy of recordkeeping and retention.
- Adequacy of employee training.
- Status of corrective actions from prior reviews.

12.3 Findings Resolution

Findings are documented in a written report to the Compliance Officer and Board of Managers. Each finding receives a corrective action plan with assigned ownership and deadlines. Resolution is tracked to closure in the next review cycle.

13. Employee Training

13.1 Initial Training

All new employees, contractors, and agents receive AML training within 30 days of their start date and prior to performing any compliance-related function. Training covers the BSA, OFAC, this Program, and role-specific procedures.

13.2 Ongoing Training

All personnel complete annual refresher training. The training is updated each year to reflect regulatory changes, internal policy updates, findings from audits and SAR investigations, and current typologies in money laundering and sanctions evasion.

13.3 Specialized Training

The BSA/AML Compliance Officer attends external compliance training or industry conferences at least once per year (such as ACAMS or ACFCS). Customer-facing staff receive additional focused training on red flags and customer interaction protocols.

13.4 Training Records

Records of training attendance, content, and competency assessments are maintained for five years in the personnel file of each employee.

Appendix A — Red Flag Indicators

The following non-exhaustive list of red flags is referenced by employees and the transaction monitoring system. The presence of any single indicator does not automatically imply suspicious activity, but the cumulative presence of multiple indicators warrants escalation to the Compliance Officer.

A.1 Customer Behavior

- Customer is reluctant or unwilling to provide identification information.
- Customer provides information that is inconsistent or contradictory across applications.
- Customer appears to be acting on behalf of an undisclosed third party.
- Customer is unusually concerned about the company's reporting obligations.
- Customer requests anonymity or confidentiality outside ordinary expectations.
- Customer's stated occupation is inconsistent with the volume or pattern of transactions.

A.2 Transaction Patterns

- Multiple transactions just below CTR or disclosure thresholds (structuring).
- Multiple unrelated senders directing funds to a common beneficiary (smurfing).
- Funds returning to the original sender through a different account or beneficiary (round-tripping).
- Sudden and unexplained increases in transaction volume or frequency.
- Transactions to or from jurisdictions identified as higher risk by FATF or OFAC.
- Activity inconsistent with the customer's stated purpose or expected pattern.
- Transactions just below the \$3,000 USD CFPB Remittance Rule disclosure threshold without a clear reason.

A.3 Beneficiary Patterns

- Beneficiary receives funds from multiple senders with no apparent connection.
- Beneficiary's name closely matches a name on a sanctions or PEP list.
- Beneficiary information is incomplete, vague, or evasive.
- Beneficiary in a higher-risk geography with no clear personal or commercial connection.

Appendix B — Customer Risk Matrix

Each customer is assigned a numerical risk score at onboarding using the matrix below. The cumulative score determines the customer's risk tier and the corresponding monitoring intensity.

Factor	Low (0 pts)	Medium (5 pts)	High (10 pts)
Identification	SSN with USA address	ITIN, matrícula consular	No verifiable ID
Geography (sender)	USA, Canada	Mexico, Central America	FATF gray list, OFAC list
Geography (beneficiary)	Major Mexican city	Border region	HIDTA-designated region
Occupation	Documented salaried	Self-employed, cash	Unstated, conflicting
Expected volume	<\$500/month	\$500–\$3,000/month	>\$3,000/month
PEP status	Not PEP	Family/associate of PEP	Direct PEP
Adverse media	None	Minor, non-financial	Financial crime, sanctions
Transaction pattern	Consistent, predictable	Some variability	Erratic or rule-triggering

Risk Tier Assignment

Total Score	Tier	Monitoring Frequency	Approval
0–10	Low	36-month review	Automated
11–25	Medium	12-month review	Compliance Officer review
26+	High	6-month review	Senior management approval

Appendix C — Approved Country List

The following countries are approved corridors for Fiattransfer operations. Activity outside this list requires prior risk assessment and Board approval.

Sender (Origination)	Beneficiary (Destination)
United States	Mexico

Appendix D — Prohibited Countries and Entities

Fiattransfer does not transact with, on behalf of, or to any person, entity, or jurisdiction subject to comprehensive U.S. sanctions or located on the OFAC SDN list. The following jurisdictions are subject to comprehensive sanctions as of the effective date of this Program:

Comprehensive Sanctions Jurisdictions
Cuba
Iran
North Korea (DPRK)
Syria
Crimea, Donetsk, Luhansk, Kherson, Zaporizhzhia regions of Ukraine
Other jurisdictions added by OFAC after the effective date of this Program

Appendix E — Transaction Monitoring Rule Library

The transaction monitoring engine evaluates every transaction against the following rules. Each rule is configured with a threshold, a severity level, and an action. The Compliance Officer reviews and recalibrates thresholds quarterly based on alert quality and false-positive analysis.

ID	Rule	Threshold	Severity
TM-001	Structuring (sender)	≥3 tx of \$2,500–\$2,999 in 7 days	High
TM-002	Structuring (aggregate)	Daily aggregate \$9,000–\$9,999	High
TM-003	Smurfing	≥3 distinct senders → same beneficiary in 24h	High
TM-004	Velocity 24h count	>5 transactions in 24h, single sender	Medium
TM-005	Velocity 24h volume	>\$10,000 in 24h, single sender	High
TM-006	Velocity 30-day volume	>\$15,000 in 30 days w/o prior pattern	Medium
TM-007	Round-tripping	Same beneficiary→sender within 7 days	High
TM-008	Dormancy break	120+ days inactive, then >\$1,000	Medium
TM-009	Geographic concentration	≥10 senders, same ZIP, 48h	Medium
TM-010	FATF jurisdiction	Any FATF gray or black-listed country	High
TM-011	Beneficiary network	Beneficiary receives from ≥5 unrelated senders, 30d	Medium
TM-012	Source mismatch	Funding inconsistent with declared occupation	High
TM-013	PEP transaction	Any transaction involving a PEP	High
TM-014	Adverse media match	Adverse media hit during screening	High
TM-015	OFAC near-match	Fuzzy match score ≥85% on SDN	High

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